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THE JOURNEY TOWARDS FINANCIAL FREEDOM



GEARING UP FOR THE EMERGENCY OR BE PREPARED, BECAUSE LIFE HAPPENS

An emergency fund allows you to cover unexpected costs and is your springboard to a strong foundation for a fit financial future

In life, emergencies don't announce their arrival in advance. They pop up unexpectedly and trigger a mad scramble for cash to cover whatever catastrophe (the smartphone falling and breaking into pieces, seepage at home or a sudden job loss) fate may have in store. Financial emergencies could be both known and unknown kinds. The known emergencies you could plan for in advance include appliance replacements or home repairs. The unknown emergencies could be in the form of accidents or bereavement travel. There is a difference between the two, and one could consider handling them differently during different stages of life. The often overlooked insurance policy is the emergency fund.

An emergency fund is a pool of money set aside for unexpected expenses. These expenses fall outside your regular budget and are a financial safety net. Think of it as a rainy day fund, so that you don't have to dig into your existing investments earmarked for other financial goals. The primary purpose of an emergency fund is to help keep your finances and savings goals intact should you experience a financial setback. By using this earmarked account to get through a period of uncertainty, you don't have to put additional expenses on a credit card or take money out of retirement savings or your kids' college savings fund.

How much emergency fund?

The size of your financial safety net depends on whether you have dependents, whether you're the sole (or primary) breadwinner, or whether you have access to other money. Start by understanding what it costs to

WHY DO I NEED AN EMERGENCY FUND?

The purpose of having an emergency fund is to ensure your future financial goals aren't derailed should you experience any financial setbacks. This emergency fund is there to see you through a phase of financial uncertainty, without forcing you to dip into your savings or withdraw money earmarked towards other financial goals.

Financial emergencies come unannounced, forcing you to choose between high-interest debt on a credit card or a personal loan at one end or liquidating investments at a bad time or missing some other financial obligation, such as paying school fees. Each of those outcomes has a real cost. Loans are expensive, and selling investments during a market downturn locks in losses you may have recovered from. Moreover, disrupting contributions sets back the compounding of your long-term savings.

An emergency fund eliminates such bad financial choices. Likewise, the purpose of an emergency fund is to be readily available when you need it, in cash, without condi-tions or delays. Importantly, it provides mental peace and helps you face financial circumstances you had planned for.

Knowing that you have a financial safety net in place can significantly reduce stress and anxiety about financial uncertainties